US Economic Weekly

Global Markets Research
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Economics - North America

Chair Transplant

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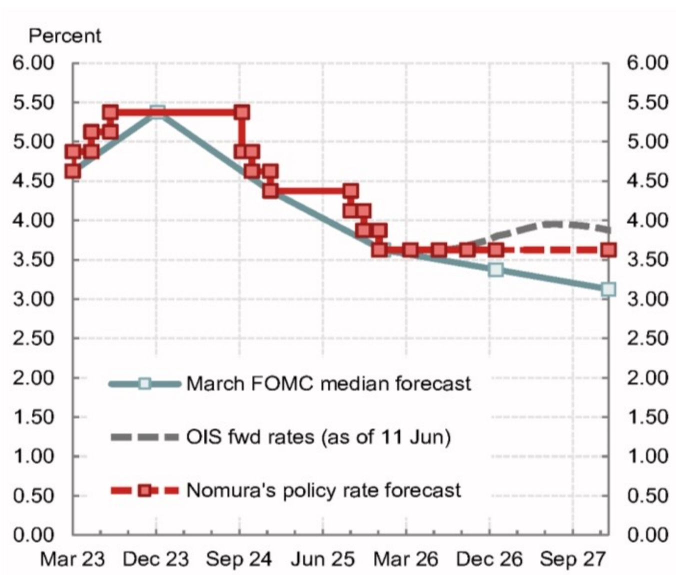
- We expect the Fed to remain on hold at the June FOMC meeting. The meeting statement will likely drop the easing bias, and we expect the dot plot medians to show rates on hold through the end of 2027.
- We think Chair Warsh will decline to submit his own economic and policy projections. In his first press conference, Warsh may continue to downplay the usefulness of forward guidance, while hinting at a future case for rate cuts.
- CPI and PPI inflation data point to an acceleration in core PCE inflation to 0.345% m-o-m or 3.426% y-o-y in May. Pipeline price pressures measured by PPI data continued to grow and point to an upside risk to the inflation outlook.

We expect the Fed to remain on hold and remove an easing bias

The Fed will likely keep the policy rate on hold for the fourth consecutive meeting at the June FOMC meeting. Since the April meeting, economic indicators show growing inflation risks, while labor markets have stabilized with some signs of acceleration.

Fig. 1: The Fed will likely keep the policy rate on hold



Source: FRB, Bloomberg, Nomura

Fig. 2: We expect Chair Warsh to acknowledge the current hawkish macroeconomic environment, but make a case for policy easing in the medium term

Tool	Key assumptions
Policy rate	
2026	No rate cuts, EOP 3.625%
2027	No rate cuts, EOP 3.625%
Terminal	3.50 - 3.75%
Balance sheet policy	
Size	Reserve management purchases of $10bn/month. The NY Fed is actively managing reserve management purchases in response to seasonal liquidity demand and market conditions. We expect balance sheet growth to average $20bn per month in the medium term.
Composition	MBS rundown to continue, with proceeds reinvested into Treasuries. Both reinvestments and eventual reserve management purchases will be skewed towards Treasury bills.

Source: FRB, Nomura

We expect the post-meeting policy statement will remove the easing bias from the forward guidance language with unanimous support. Fedspeak has turned more hawkish recently, with several FOMC participants explicitly discussing the possibility of a rate hike. That being said, a dovish faction on the Committee remains cautiously optimistic about the inflation outlook and sees policy as moderately restrictive.

Revisions to the economic projections will likely be concentrated in the inflation outlook. We expect the median inflation projection for both the headline PCE and core PCE price indices will rise over the near term (*Fig. 3*). We expect policymakers will make a mark-to-market adjustment to their unemployment rate projections for 2026 and 2027, reflecting

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recent strength in labor markets. We expect real GDP growth projections will remain unchanged from the March meeting.

Fig. 3: We expect the median inflation projection for both headline PCE and core PCE price indices to rise over the near term

Nomura's forecast for the June 2026 Summary of Economic Projections

		2026	2027	2028	Longer-run
Change in real GDP	***Jun-26***	***2.4***	***2.3***	***2.1***	***2.0***
	Mar-26	2.4	2.3	2.1	2.0
Unemployment rate	***Jun-26***	***4.3***	***4.2***	***4.2***	***4.2***
	Mar-26	4.4	4.3	4.2	4.2
PCE inflation	***Jun-26***	***3.6***	***2.2***	***2.0***	***2.0***
	Mar-26	2.7	2.2	2.0	2.0
Core PCE inflation	***Jun-26***	***3.2***	***2.3***	***2.0***	
	Mar-26	2.7	2.2	2.0	
Projected appropriate policy path: Median					
	Jun-26	***3.625***	***3.625***	***3.375***	***3.250***
	Mar-26	3.375	3.125	3.125	3.125

Source: FRB, Haver, Nomura

We do not expect Chair Warsh to submit interest rate projections for the dot plot, consistent with his past criticisms of Fed forward guidance (*Fig. 4*). Such an omission would reduce the total number of dots to 18 from 19. Warsh cannot unilaterally eliminate any aspects of the summary of economic projections, but there is a precedent for participants declining to submit forecasts.

We expect the median dots for 2026 and 2027 will rise to 3.625%, indicating no change from the current rate level for the next one and a half years. Given that most officials have discussed multiple scenarios, it is difficult to gauge individual dots for 2026, but we expect that 4-5 dots will indicate a rate hike, 7-9 dots will correspond to no changes, and 4-6 dots will be consistent with rate cuts. We expect the median 2028 dot to be 3.375%, consistent with one rate cut, and the longer-run median dot (a proxy of the neutral rate of interest) to be revised up to 3.250% from 3.125%, as the FOMC participants' characterization of the policy stance suggests an upward revision to their estimate of neutral rate.

Fig. 4: We think Warsh will decline to submit his interest rate projections for the dot plot, which is consistent with his past criticisms of Fed forward guidance

Nomura's expectation for policymakers' 2026 dots

%	2026 dot as of June (Nomura's expectation)		
3.875	Goolsbee	One rate hike	**1**
3.875	Schmid	One rate hike	**2**
3.875	Hammack	One rate hike	**3**
3.875	Musalem	One rate hike	**4**
3.875	Logan	One rate hike	**5**
3.625	Collins	No more rate cuts	**6**
3.625	Barkin	No more rate cuts	**7**
3.625	Kashkari	No more rate cuts	**8**
3.625	Barr	No more rate cuts	**9**
3.625	Venable	No more rate cuts	**10**
3.625	Cook	No more rate cuts	**11**
3.625	Waller	No more rate cuts	**12**
3.375	Jefferson	One more rate cut	**13**
3.375	Powell	One more rate cut	**14**
3.375	Daly	One more rate cut	**15**
3.375	Paulson	One more rate cut	**16**
3.375	Williams	One more rate cut	**17**
3.125	Bowman	Two more rate cuts	**18**
3.125	*Warsh*	*Two more rate cuts*	**19**

Source: FRB, Nomura

In the press conference, we think Warsh is unlikely to call for an immediate rate cut given the current hawkish macroeconomic environment. However, we think Warsh could make a case for policy easing in the medium term, suggesting that a pause in easing is largely driven by uncertainty around the Iran war. As he did at his confirmation hearing, we expect Warsh to reiterate his view that AI will boost productivity and lead to disinflation. Warsh may also characterize currently elevated inflation as a temporary phenomenon due to the Iran war.

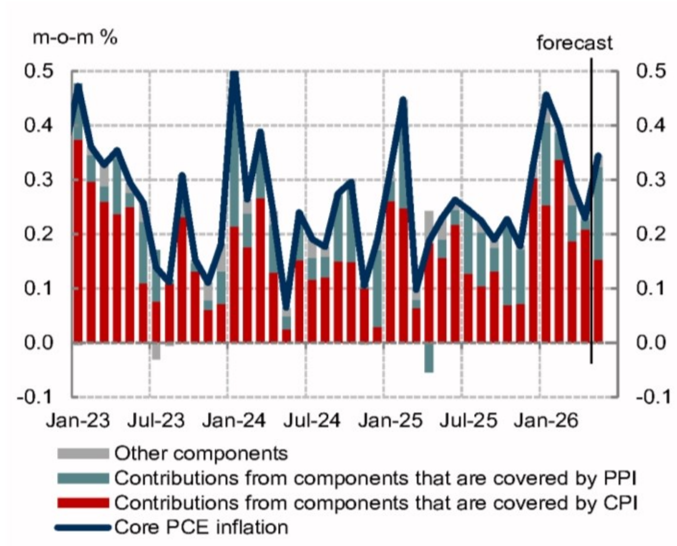
Warsh may continue to downplay the usefulness of core PCE inflation and instead propose alternative inflation measures . He may also discuss the possibility of balance sheet reduction, possibly laying out a roadmap or timeframe for a smaller balance sheet. In addition, he could discuss how he might make changes to the Fed's communication strategy.

May CPI and PPI reports point to an acceleration in core PCE inflation

Incorporating CPI and PPI data, we forecast core PCE inflation of 0.345% m-o-m in May from 0.23% in April. This would translate into y-o-y core PCE inflation of 3.426%, the highest reading since October 2023.

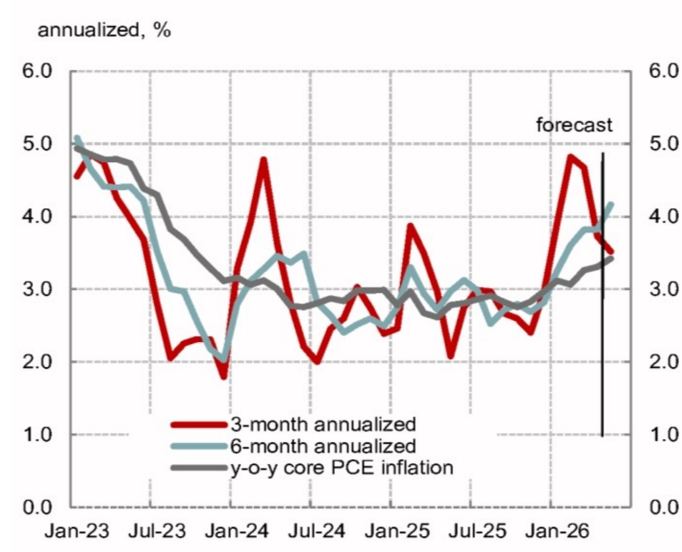
Fig. 5: Core PCE inflation likely accelerated in May, driven by components derived from PPI data

Decomposition of m-o-m core PCE inflation by data source



Source: BLS, BEA, Haver, Nomura

Fig. 6: Y-o-y core PCE inflation likely rose to 3.4% in May



Source: BEA, Haver, Nomura

Core CPI inflation moderated to 0.208% m-o-m from 0.376% in April.Core CPI goods inflation turned negative for the first time since May 2025. The tariff impact appears to have continued to wane, while inflationary pressures from global shortages of semiconductors on consumer electronics diminished. We expect core PCE goods inflation also turned negative in May. By contrast, *Core CPI service inflation remained resilient*. Rent-related components remained elevated, and supercore CPI components continued to increase at a decent pace. Transportation service prices (e.g., airline fares and auto insurance prices) were volatile.

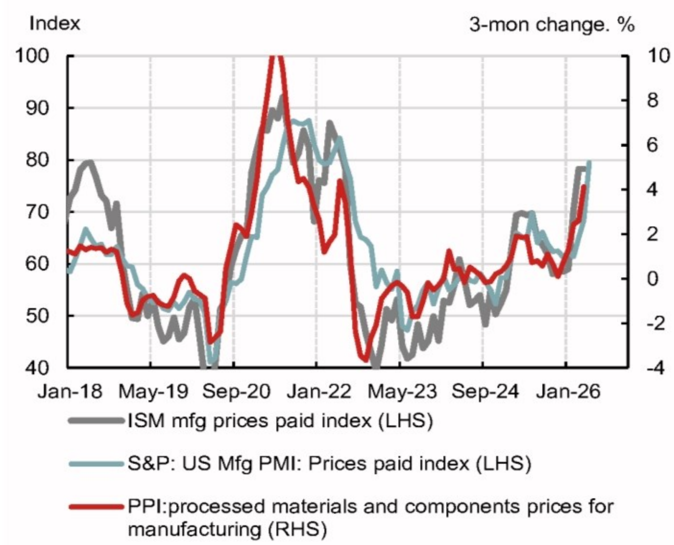
Compared with our expectations, *PCE-relevant PPI data were mixed*, as the strength in portfolio management and investment advice prices was partially offset by an unexpected decline in domestic airline fares. CPI and PPI data suggest that supercore PCE inflation likely accelerated to 0.5% m-o-m, the highest since January 2026. Backward revisions to PPI data suggest that January core PCE inflation will likely be revised up, while March and April core PCE inflation will likely be revised down.

Details of PPI data for manufacturers' production costs and selling prices indicate upward pressure on core goods inflation in the coming months. Production costs for US manufacturers kept growing as PPI's processed materials and components for manufacturing continued to increase, in line with the recent increase in factory surveys' prices paid indices (*Fig. 7*).

Despite the softness in core CPI goods prices, manufacturers continued to pass higher hosts on to their consumers, as PPI for finished consumer goods excluding food and energy increased in May (*Fig. 8*). Regional manufacturing surveys' prices received indices also point to pass-through of higher costs into consumer product prices.

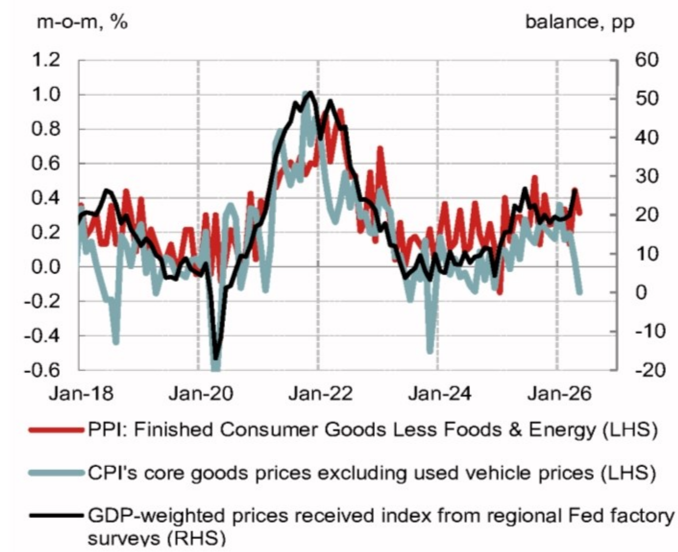
Fig. 7: Recent business surveys' show firming of prices

Manufacturing prices paid index vs. PPI's input costs for manufacturing



Source: BLS, ISM, S&P, Haver, Nomura

Fig. 8: PPI's finished consumer goods prices excluding food and energy continued to increase in May, suggesting pass-through of higher costs into consumer goods prices



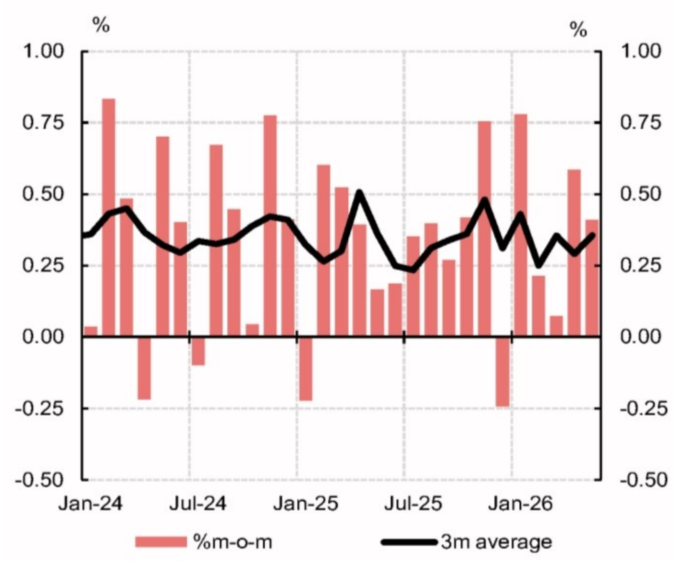
Source: BLS, BEA, NY Fed, Philly Fed, Dallas Fed, KC Fed, Haver, Nomura

Data next week

We expect retail sales rose 0.5% m-o-m in May, as gasoline spending remained strong and motor vehicle sales picked up. Strong payroll income growth and higher tax refunds from the OBBBA have supported spending thus far, despite inflationary headwinds from the Iran war (*Fig. 9* & *Fig. 10*).

Fig. 9: Strong payroll income growth has supported spending

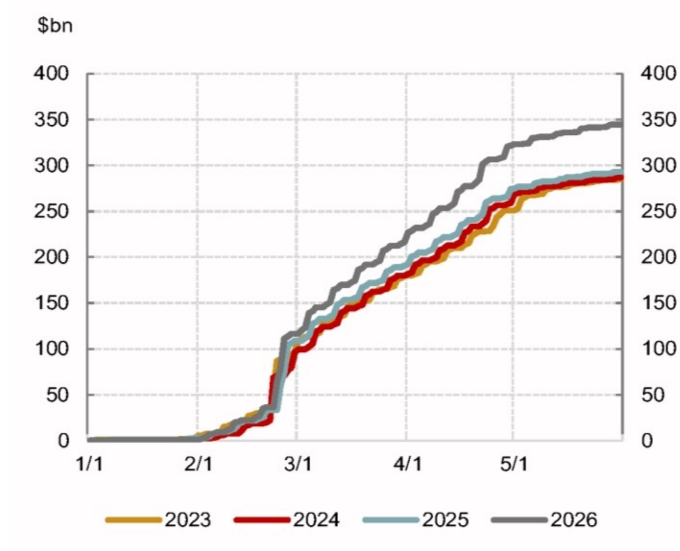
Aggregate private payroll income



Source: BLS, Haver, Nomura

Fig. 10: Higher tax refunds appeared to offset the sentiment and cashflow drag from higher gasoline prices

YTD tax refunds



Source: US Treasury, Bloomberg, Haver, Nomura

We expect industrial production growth slowed to 0.2% m-o-m in May and manufacturing production was flat. Core manufacturing (i.e., manufacturing excluding motor vehicles and parts production) likely grew 0.3%. Manufacturing surveys scheduled for release next week (the Empire State and Philly Fed surveys) are likely to point to increased production, while prices paid and received indices will remain elevated, in line with the May PPI report.

Separately, we continue to expect housing data next week to show a pickup in activity in Q2. We expect single-family housing starts ticked up, while volatile multifamily starts fell.

Pending home sales likely rose. The NAHB Housing Market Index likely remained unchanged from May, as mortgage rates ticked down, while rising building material costs and elevated uncertainty weighed on builder sentiment.

Q2 GDP tracking

We have revised our Q2 GDP tracking estimate to 2.4% q-o-q ar from *2.3% last week*. Our estimate for real final sales to private domestic purchasers now stands at 2.7% from 2.6% previously. Inflation data this week led to a slightly smaller GDP contribution from real personal consumption. A downside surprise in defense outlays in May weighed on government spending, which was offset by strength in net exports and residential investment, as the April trade balance and May existing home sales had a positive impact on our tracking estimate.

Fig. 11: Nomura's inflation forecasts

	Headline PCE		Core PCE			Headline CPI		Core CPI			CPI NSA
	m/m %	y/y %	m/m %	y/y %	qtrly, y/y %	m/m %	y/y %	m/m %	y/y %	qtrly, y/y %	Index
Jan-25	0.35	2.61	0.31	2.78		0.43	3.00	0.43	3.26		317.671
Feb-25	0.40	2.71	0.45	2.97		0.23	2.82	0.25	3.12		319.082
Mar-25	0.02	2.36	0.10	2.67	2.81	0.03	2.39	0.07	2.79	3.08	319.799
Apr-25	0.17	2.28	0.19	2.61		0.16	2.31	0.24	2.78		320.795
May-25	0.18	2.46	0.23	2.78		0.10	2.35	0.13	2.79		321.465
Jun-25	0.29	2.59	0.26	2.81	2.74	0.25	2.67	0.23	2.93	2.82	322.561
Jul-25	0.17	2.61	0.25	2.86		0.23	2.70	0.31	3.06		323.048
Aug-25	0.26	2.75	0.22	2.91		0.35	2.92	0.31	3.11		323.976
Sep-25	0.26	2.79	0.19	2.83	2.87	0.30	3.01	0.22	3.02	3.06	324.800
Oct-25	0.19	2.71	0.23	2.75		0.03	2.76	0.11	2.81		324.372
Nov-25	0.22	2.82	0.18	2.83		0.22	2.74	0.08	2.63		324.122
Dec-25	0.33	2.88	0.33	2.97	2.85	0.30	2.68	0.23	2.64	2.69	324.054
Jan-26	0.36	2.89	0.46	3.12		0.17	2.39	0.30	2.50		325.252
Feb-26	0.40	2.88	0.40	3.06		0.27	2.41	0.22	2.46		326.785
Mar-26	0.70	3.59	0.29	3.26	3.15	0.87	3.26	0.20	2.60	2.53	330.213
Apr-26	0.40	3.83	0.23	3.31		0.64	3.81	0.38	2.75		333.020
May-26	0.476	4.131	0.345	3.426		0.47	4.25	0.21	2.85		335.123
Jun-26	0.10	3.94	0.25	3.41	3.38	-0.02	3.94	0.26	2.85	2.81	335.285
Jul-26	0.17	3.93	0.21	3.37		0.15	3.88	0.22	2.75		335.576
Aug-26	0.21	3.88	0.20	3.35		0.23	3.74	0.22	2.66		336.084
Sep-26	0.22	3.83	0.20	3.36	3.36	0.25	3.66	0.22	2.66	2.69	336.693
Oct-26	0.16	3.79	0.22	3.35		0.11	3.74	0.22	2.77		336.495
Nov-26	0.22	3.79	0.21	3.38		0.24	3.73	0.22	2.91		336.210
Dec-26	0.25	3.71	0.21	3.26	3.33	0.30	3.69	0.22	2.90	2.86	336.010
Jan-27	0.20	3.55	0.25	3.05		0.18	3.71	0.27	2.87		337.323
Feb-27	0.11	3.26	0.20	2.86		0.05	3.50	0.20	2.85		338.236
Mar-27	0.21	2.75	0.20	2.76	2.89	0.21	2.86	0.20	2.85	2.86	339.667
Apr-27	0.15	2.50	0.20	2.73		0.12	2.32	0.19	2.66		340.749
May-27	0.17	2.19	0.20	2.59		0.14	1.97	0.19	2.65		341.722
Jun-27	0.16	2.25	0.20	2.53	2.62	0.13	2.12	0.19	2.57	2.63	342.410
Jul-27	0.18	2.26	0.19	2.52		0.17	2.14	0.19	2.54		342.769
Aug-27	0.20	2.25	0.19	2.50		0.20	2.12	0.18	2.50		343.216
Sep-27	0.21	2.24	0.19	2.48	2.50	0.23	2.12	0.18	2.47	2.50	343.817
Oct-27	0.15	2.23	0.19	2.45		0.11	2.12	0.18	2.43		343.615
Nov-27	0.21	2.23	0.18	2.43		0.23	2.12	0.18	2.38		343.325
Dec-27	0.25	2.22	0.18	2.40	2.43	0.29	2.13	0.18	2.34	2.38	343.151

Note: Oct and Nov CPI refers to Nomura's estimate.
Source: BLS, Haver, Nomura

Data Preview

The week ahead

We expect the FOMC to hold rates steady at the June meeting and signal no cuts.

Industrial production (Monday): We expect industrial production growth slowed to 0.2% m-o-m in May following a 0.7% increase in April. Manufacturing production was likely flat in May as motor vehicles and parts production declined, offsetting an increase in other components.

Core manufacturing (i.e. manufacturing excluding motor vehicles and parts production) likely remained strong and grew 0.3% m-o-m. Manufacturing surveys suggest production rose in the month, and aggregate employment in the sector improved. Volatile components were mixed in May, as a strong increase in mining production was somewhat offset by weakening utilities production.

NAHB housing market index (Monday): We expect the NAHB Housing Market Index remained subdued at 37 in June, essentially unchanged from May. Mortgage rates ticked up during the survey reference period, and elevated uncertainty coupled with rising building material costs likely continued to weigh on builder sentiment.

Import prices (Tuesday): We expect import prices remained elevated in May as crude oil prices continued to be driven up by the Iran war. Ex-petroleum import prices likely moderated due to the lagged effect of a weaker dollar. Note, the scope of BLS's import prices excludes tariffs.

Housing starts (Tuesday): We expect housing starts slowed to 1445k in May from 1465k in April. Volatile multifamily starts likely fell, reversing a sharp increase in April, while single-family starts likely ticked up. Lead indicators (including building permits and home sales) suggest activity is likely to pick up in Q2 following a slowdown in Q1. Building permits likely edged down slightly to 1415k from 1423k in April, driven by a slowdown in multifamily permits.

Retail sales (Wednesday): We expect retail sales rose 0.5% m-o-m in May following a 0.5% advance in April. Gasoline sales remained strong, while motor vehicle sales also picked up in the month. Strong payroll income growth and higher tax refunds from the OBBBA have supported spending thus far, despite headwinds from the Iran war.

We expect nominal “control” retail sales growth slowed to 0.4% m-o-m from 0.5% previously. Food services sales likely slowed and building material sales likely fell in May.

Pending home sales (Wednesday): We expect pending home sales rose 0.9% m-o-m, down from 1.4% m-o-m in April. Weekly data from Redfin suggest home sales remained strong.

FOMC meeting (Wednesday): The Fed will likely keep the policy rate on hold for the fourth straight meeting next week. We expect the Committee to remove the easing bias from the policy statement with unanimous support.

The median projections for the federal funds rate will likely show no changes in the policy rate for 2026 and 2027, followed by one rate cut in 2028. We expect the median longer-run projection to be revised slightly higher.

Chair Warsh is unlikely to submit his own economic and policy projections, downplaying the benefit of providing forward guidance. He may acknowledge the current hawkish macroeconomic environment, but will likely make a case for policy easing in the medium term.

Jobless claims (Thursday): Initial and continuing jobless claims continued to rise this week, but remain relatively subdued. Initial jobless claims are now closer to their recent pattern of a pickup in summer months.

Fig. 12: Forecasts for economic indicators released during the week of 15 June

Monday 15 June		Units	Period	Prev 2	Prev 1	Last	Nomura	Consensus
8.30	Empire State survey	Index	Jun	-0.2	11.0	19.6	n.a.	n.a.
9.15	Industrial production	% m-o-m	May	0.6	-0.3	0.7	0.2	0.2
10.00	NAHB housing market index	Index	Jun	38	34	37	37	37
Tuesday 16 June								
8.30	Import prices	% m-o-m	May	1.0	0.9	1.9	n.a.	n.a.
8.30	Import prices ex-petroleum	% m-o-m	May	0.9	0.0	0.7	n.a.	n.a.
8.30	Housing starts	000s	May	1346	1507	1465	1445	1440
8.30	Housing starts	% m-o-m	May	-2.8	12.0	-2.8	-1.4	-1.7
8.30	Building permits	000s	May	1540	1363	1423	1415	1403
8.30	Building permits	% m-o-m	May	10.6	-11.5	4.4	-0.6	-1.4
13.00	20-yr Bond auction	$bn					13	
Wednesday 17 June								
7.00	Mortgage applications	% w-o-w	12-Jun	-8.5	-2.5	10.8	n.a.	n.a.
8.30	Retail sales	% m-o-m	May	0.9	1.6	0.5	0.5	0.4
8.30	Retail sales ex-autos	% m-o-m	May	0.9	1.9	0.7	n.a.	0.3
8.30	Retail sales "control"	% m-o-m	May	0.9	0.8	0.5	0.4	n.a.
10.00	Pending home sales	% m-o-m	May	2.5	1.7	1.4	0.9	n.a.
14.00	FOMC meeting		Jun					
14.00	FOMC rate decision (upper bound)	%	Jun	3.75	3.75	3.75	3.75	3.75
14.00	FOMC rate decision (lower bound)	%	Jun	3.50	3.50	3.50	3.50	3.50
14.00	FOMC interest on reserves (IOR)	%	Jun	3.65	3.65	3.65	3.65	3.65
14.00	FOMC Median Rate Forecast: Current Yr	%	Jun	3.625	3.625	3.375	3.625	3.625
14.00	FOMC Median Rate Forecast: Next Yr	%	Jun	3.375	3.375	3.125	3.625	3.625
14.00	FOMC Median Rate Forecast: +2 Yrs	%	Jun	3.125	3.125	3.125	3.375	3.375
14.00	FOMC Median Rate Forecast: Long-Run	%	Jun	3.000	3.000	3.125	3.250	3.125
Thursday 18 June								
8.30	Initial jobless claims	000s	13-Jun	212	225	229	n.a.	n.a.
8.30	Continuing jobless claims	000s	6-Jun	1785	1771	1795	n.a.	n.a.
8.30	Philly Fed survey	Index	Jun	18.1	26.7	-0.4	n.a.	n.a.
13.00	5-yr TIPS auction	$bn					24	
Friday 19 June								
	Juneteenth - Markets Closed							

Note: Eastern Daylight Time (EDT). All Nomura forecasts are modal.
Source: Haver, Bloomberg, Nomura

US Economic Outlook

We expect the Fed to stay on hold indefinitely due to diminished political pressure, elevated inflation, and hawkish Fedspeak.

Economic activity: Growth momentum has accelerated, supported by easing tariff uncertainty, fiscal stimulus from the One Big Beautiful Bill Act, and the lagged impact of Fed rate cuts amid easy financial conditions. *Business investment appears to be broadening beyond the AI sector*. Higher tax refunds and strong payroll income growth have supported consumer spending thus far, despite headwinds from the Iran war. A broad range of indicators point to resilience and tentative signs of reacceleration in the labor market. We expect the unemployment rate will decline, reaching 4.1% by year-end. We think that the US economy remains relatively insulated from *the crude oil price shock due to the Iran war* given the small share of energy-goods consumption in household spending, as well as domestic energy production.

Inflation: Core inflation remains well above the Fed's 2% target, and we believe risks are skewed to the upside. We forecast Q4 2026 core PCE inflation of 3.3% y-o-y. We expect tariff price pressures will diminish in the coming quarters. However, this will likely be offset by new price pressures driven by supply shortages caused by AI (memory chips, electricity, etc.) along with spillovers from higher energy prices. Wage growth seems to have moderated gradually, but remains higher than the level consistent with the Fed's 2% inflation goal, which is likely to lead to stickiness in supercore service inflation. We expect rent disinflation to continue, but at a very gradual pace.

Policy: *We expect the Fed to remain on hold indefinitely*. Fed Chair Warsh likely remains motivated to ease policy, but recent elevated inflation readings and hawkish Fedspeak suggest he may not be able to convince the majority of the Fed to support rate cuts. Moreover, support among Fed officials for an easing bias has begun to wane. While hikes appear unlikely in the near term, the Fed's hesitance to respond to tentative signs of inflation pressure raises the risk that they may end up "behind the curve," needing to hike quickly to re-establish credibility. The balance of risks is tilted towards tightening at this moment. On tariffs, wider Section 122 exemptions, lower tariff rates, and a greater focus on affordability suggest *limited further escalation* in US trade policy.

Risks: Further escalation of geopolitical risks could lead to a tightening of financial conditions and worsening of the fiscal outlook. Increased political pressures on individual FOMC participants could undermine the Fed's credibility, soliciting sharp market reactions. A bust of the AI boom could lead to material corrections in asset valuations. A continued shortage of memory chips and supply chain disruption due to a protracted Iran war could lead to a second round of goods price increases.

Fig. 13: United States: Details of the forecast

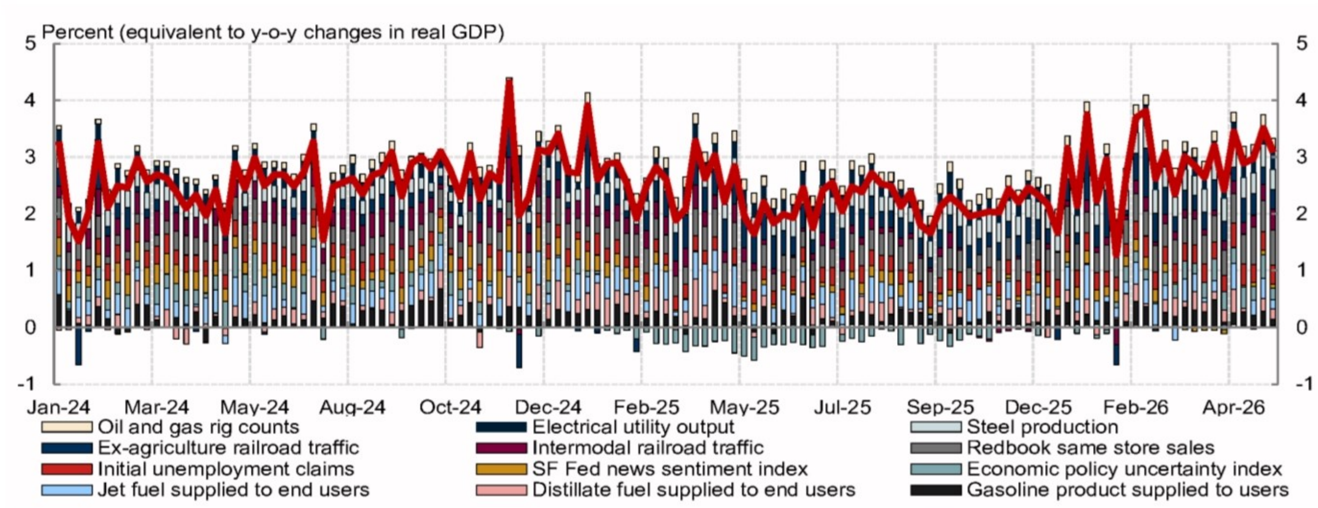
														% y-o-y			% Q4/Q4		
%		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2025	2026	2027	2025	2026	2027
	q-o-q																		
Real GDP	(%, a.r.)	**-0.6**	**3.8**	**4.4**	**0.5**	**1.6**	2.7	2.1	1.9	1.9	1.9	1.6	1.6	**2.1**	2.2	1.9	**2.0**	2.1	1.8
	(%)	**-0.2**	**0.9**	**1.1**	**0.1**	**0.4**	0.7	0.5	0.5	0.5	0.5	0.4	0.4						
Personal consumption	(%, a.r.)	**0.6**	**2.5**	**3.5**	**1.9**	**1.4**	1.7	1.9	1.8	1.7	1.7	1.5	1.5	**2.6**	2.0	1.7	**2.1**	1.7	1.8
Nonresidential fixed invest	(%, a.r.)	**9.5**	**7.3**	**3.2**	**2.4**	**10.1**	9.9	4.5	3.6	3.4	3.1	2.5	2.5	**4.1**	6.4	3.7	**5.6**	7.0	5.3
Residential fixed invest	(%, a.r.)	**-1.0**	**-5.1**	**-7.1**	**-1.7**	**-6.3**	2.5	3.2	3.0	2.8	2.8	2.5	2.5	**-2.2**	-2.1	2.8	**-3.8**	0.5	2.9
Government expenditure	(%, a.r.)	**-1.0**	**-0.1**	**2.2**	**-5.6**	**4.4**	3.2	0.9	0.9	0.9	0.9	0.9	0.9	**1.1**	1.0	1.1	**-1.2**	2.4	1.5
Exports	(%, a.r.)	**0.2**	**-1.8**	**9.6**	**-3.2**	**13.1**	6.3	2.3	2.3	2.3	2.3	2.2	2.1	**1.6**	5.2	2.5	**1.1**	5.9	3.3
Imports	(%, a.r.)	**38.0**	**-29.3**	**-4.4**	**-1.0**	**21.1**	15.2	3.5	3.3	2.8	2.5	2.3	2.0	**2.7**	5.2	3.5	**-1.9**	10.5	6.1
Contributions to GDP:																			
Final sales	(pp., a.r.)	**-3.2**	**7.3**	**4.5**	**0.3**	**1.5**	1.9	2.0	1.8	1.8	1.8	1.6	1.6	**2.2**	2.2	1.8	**2.1**	1.9	1.7
Net trade	(pp., a.r.)	**-4.7**	**4.8**	**1.6**	**-0.2**	**-1.3**	-1.3	-0.2	-0.2	-0.1	-0.1	-0.1	0.0	**-0.2**	-0.2	-0.2	**0.4**	-0.7	-0.1
Inventories	(pp., a.r.)	**2.6**	**-3.4**	**-0.1**	**0.1**	**0.1**	0.8	0.2	0.1	0.1	0.1	0.1	0.0	**-0.1**	0.0	0.2	**-0.1**	0.2	0.1
	As noted																		
Unemployment rate	(%)	**4.1**	**4.2**	**4.3**	**4.5**	**4.3**	4.3	4.2	4.1	4.0	3.9	3.9	3.9	**4.3**	4.2	3.9			
Nonfarm payrolls	(000s)	**20**	**34**	**23**	**-39**	**68**	75	90	120	100	90	90	90	**10**	88	90			
Housing starts	(000s, a.r.)	**1401**	**1354**	**1346**	**1323**	**1419**	1410	1430	1420	1400	1390	1390	1380	**1356**	1420	1390			
Consumer prices	(%, y-o-y)	**2.7**	**2.5**	**2.9**	**2.7**	**2.7**	3.9	3.7	3.7	3.3	2.1	2.2	2.1	**2.7**	3.5	2.4			
Core CPI	(%, y-o-y)	**3.1**	**2.8**	**3.1**	**2.7**	**2.5**	2.8	2.7	2.9	2.9	2.6	2.5	2.4	**2.9**	2.7	2.6			
PCE Deflator	(%, y-o-y)	**2.6**	**2.4**	**2.7**	**2.8**	**3.1**	3.9	3.8	3.7	3.1	2.3	2.3	2.2	**2.6**	3.6	2.5			
Core PCE	(%, y-o-y)	**2.8**	**2.7**	**2.9**	**2.9**	**3.1**	3.4	3.3	3.3	2.9	2.6	2.5	2.4	**2.8**	3.3	2.6			
Federal budget	(% GDP)													**-5.8**	-6.4	-6.4			
Current account balance	(% GDP)													**-3.7**	-3.7	-3.4			
Fed securities portfolio	($trn)	**6.32**	**6.24**	**6.19**	**6.15**	**6.27**	6.36	6.42	6.48	6.54	6.60	6.66	6.72	**6.15**	6.48	6.72			
Fed funds target midpoint	(%)	**4.375**	**4.375**	**4.125**	**3.625**	**3.625**	3.625	3.625	3.625	3.625	3.625	3.625	3.625	**3.625**	3.625	3.625			
TSY 2-year note	(%)	**3.89**	**3.72**	**3.60**	**3.47**	**3.79**	4.15	4.15	4.10	4.10	4.05	4.00	3.95	**3.47**	4.10	3.95			
TSY 5-year note	(%)	**3.96**	**3.79**	**3.74**	**3.73**	**3.92**	4.30	4.30	4.25	4.25	4.25	4.20	4.20	**3.73**	4.25	4.20			
TSY 10-year note	(%)	**4.23**	**4.24**	**4.16**	**4.18**	**4.30**	4.60	4.60	4.60	4.60	4.60	4.55	4.50	**4.18**	4.60	4.50			

Note: The unemployment rate is a quarterly average as a percentage of the labor force. Nonfarm payrolls are average monthly changes during the period. Inflation measures and calendar year GDP are year-over-year percent changes. The Fed securities portfolio is end-of-period. The annual interest rate forecasts are end-of-period. Housing starts are period averages. Numbers in bold are actual values. Table reflects data available as of 12 June 2026. All Nomura forecasts are modal

Source: BEA, BLS, Census Bureau, FRB, Haver, Nomura

Week in Review

Fig. 14: Weekly data tracker and its decomposition



Note: We estimate a latent factor that contributes the most to the total variance of 13 daily and weekly US indicators covering industrial and consumer sectors via principal component analysis (i.e., the first principal component). We calibrate this factor to track four-quarter changes in real GDP.

Source: AAR, Baker Hughes, DOL, EIA, EEI, MBA, PolicyUncertainty, Redbook Research, SF Fed, Haver Analytics, Nomura

First Insights - May CPI suggests an acceleration in core PCE inflation while core goods inflation moderated

Economic Insights - US: Monthly Inflation Monitor

First Insights - US: PPI data suggest May core PCE inflation likely accelerated with upstream cost escalations

Policy Watch - June FOMC Preview

Fig. 15: Economic Data Calendar

	Mon 15 June	Tue 16 June	Wed 17 June	Thu 18 June	Fri 19 June
North America	**US** **Industrial production (May)** % m-o-m 0.7, 0.2, 0.2 **US** **NAHB housing mkt. ind. (Jun)** Index 37, 37, 37 **US** **Empire State survey (Jun)** Index 19.6, n.a., n.a.	**US** **Housing starts (May)** 000s 1465, 1445, 1440 **US** **Building permits (May)** 000s 1423, 1415, 1403 **US** **Import prices** % m-o-m 1.9, n.a., n.a.	**US** **FOMC rate decision (upper)** (Jun) % 3.75, 3.75, 3.75 **US** **Retail sales (May)** % m-o-m 0.5, 0.5, 0.4 **US** **Retail sales "control" (May)** % m-o-m 0.5, 0.4, n.a.	**US** **Philly Fed survey (Jun)** Index -0.4, n.a., n.a.	**US** **Juneteenth** Markets Closed
Europe (ex-UK)	**EUR Industrial product. (Apr)** % m-o-m 0.2, 0.0, n.a.	**GER ZEW Expectations (Jun)** Index -10.2, -1.2, n.a. **GER ZEW Current (Jun)** Index -77.8, -78.1, n.a.	**Riksbank Policy Rate** % 1.75, 1.75, n.a. **ECB Wage Tracker** **SWE Inflation Expectations**	**SNB Policy Rate** % 0.00, 0.00, n.a. **Norges Bank Policy Rate** % 4.25, 4.25, n.a. **EUR Construction output (Apr)** % m-o-m 0.8, n.a., n.a.	**GER Producer prices (May)** % m-o-m 1.2, n.a., n.a.
United Kingdom	**Rightmove House Px (Jun)** % y-o-y -0.3, n.a., n.a.		**CPI (May)** % y-o-y 2.8, 2.8, n.a. **Core CPI (May)** % y-o-y 2.5, 2.5, n.a. **Services CPI (May)** % y-o-y 3.2, 3.5, n.a. **RPI (May)** % y-o-y 3.0, 3.1, n.a. **PPI Output (May)** % m-o-m 1.4, 0.3, n.a.	**BoE Bank Rate** % 3.75, 3.75, n.a. **Makerfield by-election** **Average Weekly Earnings 3Mths (Apr)** % y-o-y 4.1, 4.0, n.a. **Unemployment Rate 3Mths (Apr)** % 5.0, 5.1, n.a. **Payrolls m/m (May)** k -100, -20, n.a.	**GfK Consumer Conf. (Jun)** Index -23, -22, n.a. **PSNB ex (May)** GBP bn 24.3, 17.7, n.a. **CGNCR-ex (May)** GBP bn 15.5, 15.1, n.a. **Retail Sales Ex Fuel (May)** % m-o-m -0.4, 0.2, n.a.
CEEMEA	**Türkiye** **Industrial output (Apr)** %y-o-y -1.1, n.a., n.a. **Poland** **CPI (May)** % y-o-y 3.1, n.a., n.a. **Türkiye** **Budget Balance (May)** TRYbn -338.7, n.a, n.a. **Israel** **CPI (May)** %y-o-y 1.9, n.a, 2.1	**Czech R.** **PPI (May)** % y-o-y 1.0, n.a., n.a. **Türkiye** **Retail trade (Apr)** %y-o-y 21.2, n.a., n.a. **Israel** **GDP (1Q P)** %y-o-y -3.3, n.a, n.a **Poland** **CPI Core (May)** % y-o-y 3.0, n.a., 3.1	**S. Africa** **CPI (May)** % y-o-y 4.0, n.a., 4.7 **S. Africa** **CPI Core (May)** % y-o-y 3.6, n.a., 3.8	**Czech R.** **Policy rate decision** % 3.50, n.a., 3.63	**Türkiye** **Real sector confidence (Jun)** Index 101, n.a, n.a. **Türkiye** **Capacity Utilization (Jun)** % 74.2, n.a, n.a.
Japan	**Tertiary industry activity index (Apr)** % m-o-m -0.2, 0.3, n.a.	**BOJ policy meeting** (15-16 Jun) **BOJ governor's regular press conference**	**Exports (May)** % y-o-y 14.8, 17.3, n.a. **Machinery orders (Apr)** % m-o-m -9.4, 2.8, n.a.		**All-Japan Core CPI (May)** % y-o-y 1.4, 1.5, n.a. **BOJ MPM Minutes (27-28 Apr)**
Asia ex-Japan	**India** **Exports (May)** % y-o-y 13.8, 8.9, n.a.	**China** **Retail sales (May)** % y-o-y 0.2, -1.0, -0.5 **China** **Industrial production (May)** % y-o-y 4.1, 4.1, 4.3 **Australia** **RBA policy meeting (Jun)** % 4.35, 4.35, 4.35	**Singapore** **NODX (May)** % y-o-y 24.5, 30.9, 30.8	**Taiwan** **CBC policy rate (Jun)** % 2.000, 2.125, 2.000 **New Zealand** **Real GDP (Q1)** % y-o-y 1.3, 1.1, 1.0 **Philippines** **BSP policy meeting (Jun)** % 4.50, 4.75, 4.75 **Indonesia** **BI rate (Jun)** % 5.50, 5.50, 5.75	**Malaysia** **Exports (May)** % y-o-y 36.9, 29.7, 29.5 **Malaysia** **CPI (May)** % y-o-y 1.9, 2.1, 2.1

Source: Bloomberg, Reuters, Nomura Global Economics.

Appendix A-1

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